



GROWING TOGETHER



Investor Presentation

May 2012

Safe Harbor



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Management



Off-highway tyre Solutions

Balkrishna Industries...

- ⦿ India's leading exporter of "Off-Highway Tires"
- ⦿ Widest and comprehensive product portfolio of over 1900 SKUs
- ⦿ 144,000 MTPA current achievable production capacity
 - Achievable capacity to be further enhanced to 276,000 MT by FY 2015
- ⦿ Market presence in more than 120 countries
 - Europe, America, Asia Pacific, Middle-East, ANZ etc
- ⦿ Exponential Revenue & Earning growth

Under the able leadership of ...

Mr. Arvind Poddar - Chairman & Managing Director

- Promoter of the Company
- In last 5 years, Company grew exponentially with around 30% CAGR
- Fuelling growth : Capacity creation of over 60% underway
- Moving towards USD 1 billion revenue by 2015

The Core Team Executing the Vision

Mr. B K Bansal

Director - Finance

Mr. Rajiv Poddar

Executive Director

Mr. D M Vaidya

Director - Technical

Mr. M S Bajaj

Sr. V P - Commercial

Consistently growing in all areas of business

	Parameter	FY06	FY12
Finance*	Revenue (Rs. Crs)	620	3,018
	Net Profit (Rs. Crs)	69	269
	Net Worth (Rs. Crs)	288	1,139
Production	No. of plants	2	3
	Achievable Production Capacity (MT)	48,750	144,000
	Production (MT)	42,500	133,040
Marketing	Markets being Serviced	75	120
	No. of Distributors	~ 120	~ 200
	No. of Sales Office	1	4

* Consolidated

Global Markets - Local Production

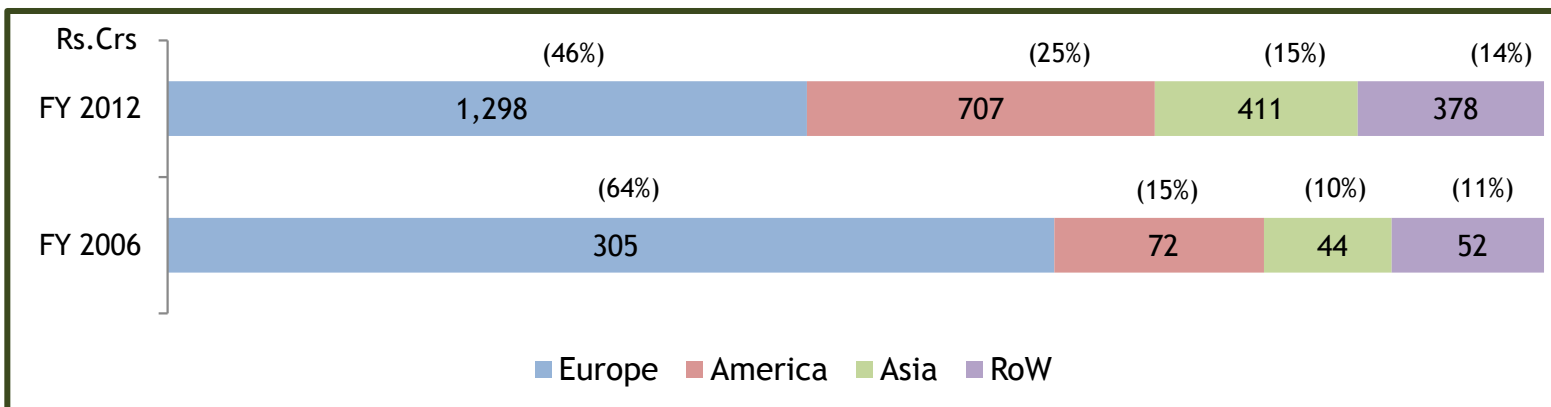


Off-highway tyre Solutions

Presence in over 120 countries...

Demand drivers in Key Continents

Europe	Americas	Asia Pacific
- Large & Mechanized farms - Large replacement market	- Agriculture & Mining sector growing - Large Farm-Equipments trends - Fast growing economies such as Brazil, Argentina, Colombia, Costa Rica etc	- Agriculture & Infrastructure booming - Moving from traditional to larger sized equipments



Expanding by higher penetration & geographical diversification

With various “Off-Highway Tires (OHT)”...

Agriculture (63%)



- Tires for Tractors, Trailers, Farm Equipment, Forestry
- Specifically designed as per farm requirement
- Tractor Radial Tires under brand “Agrimax”

OTR (33%)



- Industrial, Construction & Earth Mover tires
- Tires for articulate dump trucks, loaders, underground mines, port application
- Steel Radial OTR tire under brand “Earthmax”

Others (4%)

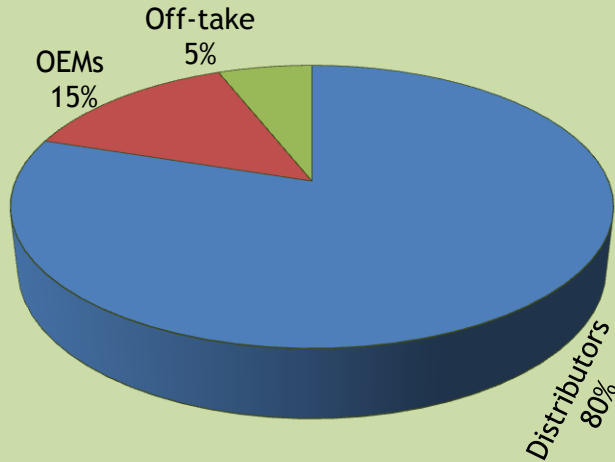


- Tires for Sports, Utility vehicles such as Golf-cart, Lawn & Garden tires
- Tires for All Terrain Vehicles (ATV) with puncture resistance

One Stop -Shop for all off highway tires solution

Through various sales channels

95% Sales under 'BKT' brand



Distributors

- ◉ Caters Replacement Market
- ◉ Strong Global Network
 - Over 200 Distributors in 120 countries
- ◉ Expanding market reach by
 - Increasing penetration of existing distributors
 - Adding new distributors

OEMs

- ◉ Supplier to leading OEMs such as,

▪ Volvo	▪ BOMAG
▪ John Deere	▪ SAME
▪ CNH	▪ Ferrari
▪ Class	▪ JCB

Off-Take

- ◉ Supplier to leading Global Tire manufacturers - labeled under their brand
 - Reaffirms Global Quality Standards

Replacement Market lends stability in turbulent times

Existing manufacturing facilities...

- ◉ State of the art tire manufacturing plants at
 - Bhiwadi & Chopanki in Rajasthan
 - Aurangabad, Maharashtra
 - In-house Mould Plant, Dombivali, Maharashtra
- ◉ Achievable Production Capacity at 144,000 MTPA
 - Wide product range of over 1900 SKUs
 - Frequent change over in production cycle
 - Large Variety - low volume restricts optimal capacity utilization
 - 12,000 MTPA capacity addition in existing plants in FY 13 through debottlenecking



120,000 MT Greenfield expansion at Bhuj, Gujarat

- Production of entire range of off highway products with emphasis on radial products and large and ultra large specialty OTR tires
- Greenfield expansion at Bhuj to include
 - 120,000 MT of Achievable Production Capacity
 - 20 MW Captive Power Project
 - Additional Rubber mixing units
 - Housing Colony and Common infrastructure for Employees
- Commercial Production to commence from Q2 FY13
 - Civil & Infrastructure work progressing as per schedule
 - Installation of equipments commenced at Site
 - Production ramp-up gradual, to be completed by FY 15

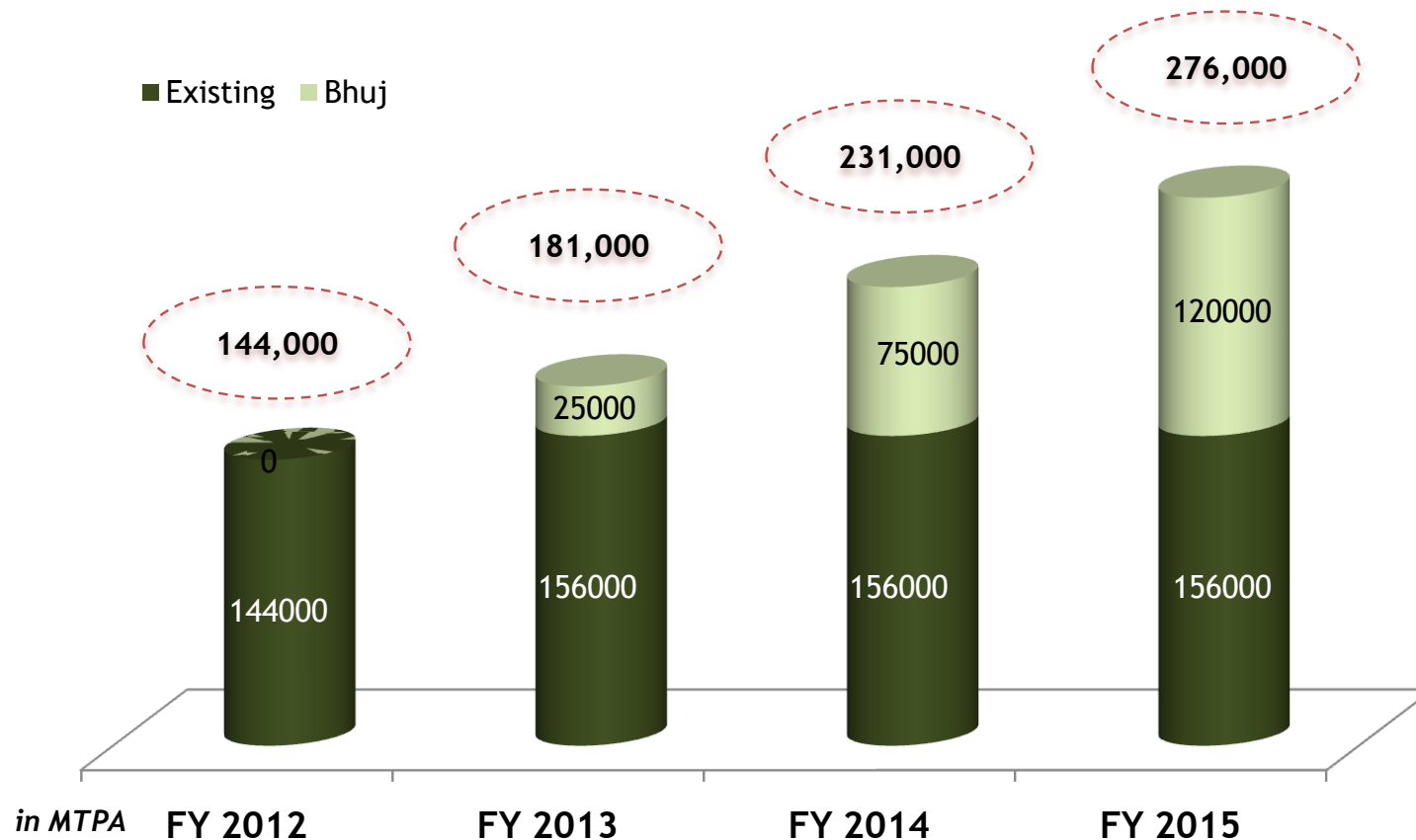


Financing of capex at Bhuj

	Rs. Crs.	~ Cost	Remarks
Project Cost	Total Project Cost	1,800	Rs. 623 Crs. incurred till Mar 12
Financed by	ECB Loan of USD 275 mn	1,300	USD 175 mn drawn in Q1 FY12, USD 100 mn tied up
	Internal Accruals	500	
Capex Phasing	FY 2012	623	
	FY 2013	750	
	FY 2014	427	

120,000 MTPA : Achievable Production Capacity at Bhuj

Achievable Production Capacity built-up

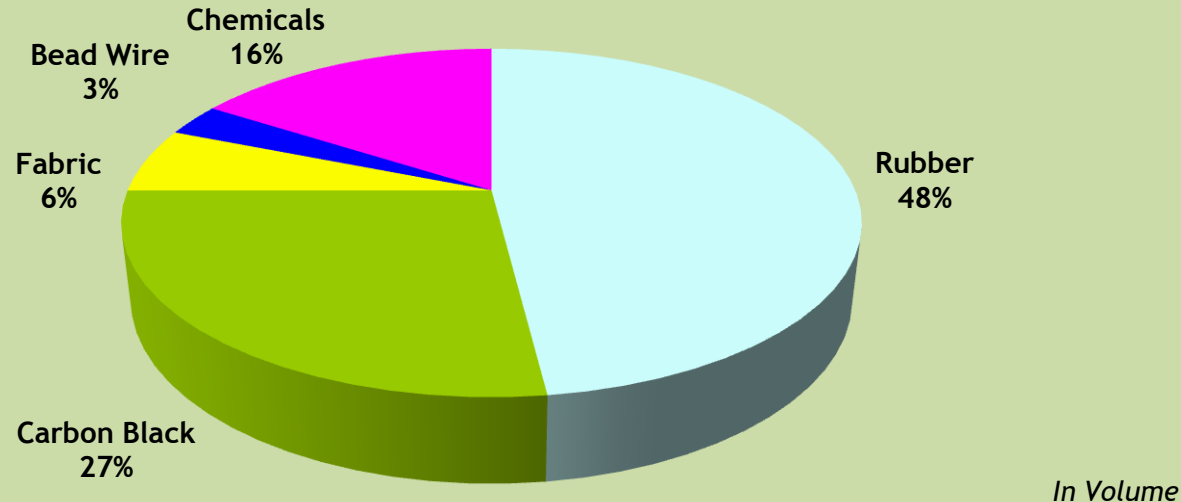


276,000 MTPA : Achievable Production Capacity by FY 2015

Debottlenecking to add 12,000 MTPA capacity in existing plants in FY 13

Key Raw materials

Raw material composition



- ◉ **Rubber sourced from**
 - India, Indonesia, Malaysia & Thailand - Major Rubber Producing countries
- ◉ **Closer to Rubber producing countries gives edge over global peers**
 - Lower logistic expenses
- ◉ **Flexibility in sourcing from India or Import**
 - No impact of Import Duty being major exporter
- ◉ **Other materials - Synthetic Rubber, Carbon Black, Fabric & Chemicals**
 - Derivatives of Crude Oil

Key Competitive Advantages



Off-highway tyre Solutions

Key Competitive Advantages

Low Operating Cost ... v/s ... Global Peers

- Labor intensive business, however India manufacturing leads to 1/5th labor cost compared to global peers
- Lower selling & distributing expenses due to sales by **distributor network**

Faster Mind to Market Product Roll-out

- Strong R&D Team for product development
- In-house mould facility leads to faster conversion

Flexible Plant Operation

- Maximize utilization of entire basket of 1900 SKUs
- Ensures timely execution of customer's order

Inter- Changeability of production amongst various plants

- Helps production planning to achieve optimum output
- Facilitates container dispatch of varied tires

The Radial Advantage

- Largest manufacturer of full range of Radial Tractor Tires located in a low-cost region
- Globally few manufacturers with concentration in USA & Europe
- Addition of capacity makes it a preferred global partner for radial tires

Growth Strategies



Off-highway tyre Solutions

Sales strategy to back capacity creation

A

Increase penetration in current markets

- Increasing coverage through current distributors
- Appointment of new distributors to cater all segments

B

Increase exposure with OEMs

- Developing newer products for OEMs
- Expanding the OEMs base

C

Development of new emerging markets viz. Russia & CIS

- Demand drivers are stable economy growth & major infrastructure developments in highway, ports, mining sector
- Establishing distributor network

D

Enhancing Product Portfolio

- All Steel Radial Mining Tires
- Agri-Radial Tires
- Special Puncture-Proof Defense Tires

India business opportunity unfolding ...

- ◉ **Presently, ~ 10% of Revenue from India**
 - Mainly from OTR Segment
 - Tie-up with OEMs like JCB, Escorts, L&T Case, SDF, John Deere, CNH
- ◉ **Investment in Indian Infrastructure growing rapidly**
 - Earthmoving & Construction equipment (ECE) industry to grow five fold from USD 2.3 billion to USD 12 - 13 billion by 2015
- ◉ **Agriculture Sector in India witnessing transformation**
 - India moving towards mechanized farming which improves productivity
- ◉ **Well positioned to capture growing India market**
 - Tying-up with new OEMs
 - Establishing distribution network

Financial Highlights



Standalone - Tire Business :

Financial Highlights - Q4 FY2012



Rs.Crs	Q4 FY12	Q4FY11	YoY %	Q3 FY12	QoQ%
Sales (MT)	36,358	30,586		35,534	
Net Sales	787	553		792	
Other Operating Income	2	16		7	
Revenue	789	569	38.7%	799	-1.3%
Raw Material	495	334		440	
(Increase) / Decrease in Stock	-31	9		9	
Employee Expenses	20	17		18	
Other Expenses **	170	117		190	
EBITDA	134	92	45.5%	143	-5.7%
EBITDA Margin	17.05%	16.26%		17.85%	
Other Income	1	6		1	
Interest & Finance Charges *	-1	4		14	
Depreciation	22	19		21	
PBT	114	76		108	
Tax	37	24		35	
PAT	76	52	46.7%	73	4.8%
PAT Margin	9.69%	9.15%		9.12%	

Previous period figures have been regrouped/reclassified as per revised Schedule VI, wherever necessary

* On account of foreign exchange fluctuation on borrowings, now being classified under "Interest & Finance Charges" as per revised Schedule VI, which was earlier disclosed as "Foreign Exchange Gain/Loss"

** Foreign Exchange fluctuations on foreign currency transactions and translation (other then considered as finance cost) is included in Other Expenses

Standalone - Tire Business : Financial Highlights - FY2012



Rs.Crs	FY12	FY11	YoY %
Sales (MT)	133,040	111,545	
Net Sales	2,795	1,886	
Other Operating Income	25	48	
Revenue	2,820	1,934	45.8%
Raw Material	1,759	1,229	
(Increase) / Decrease in Stock	-48	-3	
Employee Expenses	72	55	
Other Expenses *	531	294	
EBITDA	506	360	40.5%
<i>EBITDA Margin</i>	<i>17.94%</i>	<i>18.61%</i>	
Other Income	3	10	
Interest & Finance Charges	28	21	
Depreciation	83	74	
PBT	398	275	
Tax	130	89	
PAT	269	186	44.7%
<i>PAT Margin</i>	<i>9.52%</i>	<i>9.59%</i>	

Previous period figures have been regrouped/reclassified as per revised Schedule VI, wherever necessary

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Standalone - Tire Business : Balance-Sheet FY2012

Rs. Crs.	Mar-12	Mar-11
Shareholder's Fund		
Share capital	19	19
Reserves & Surplus	1,061	812
Non-current liabilities		
Long term borrowings	914	25
Long-term provisions	125	344
Other non-current liabilities	97	80
Current liabilities		
Short term borrowings	749	573
Trade Payables	200	114
Other current liabilities	76	129
Total Liabilities	3,242	2,098

Rs. Crs.	Mar-12	Mar-11
Non-current assets		
Fixed assets	1,278	731
Long-term loans and advances	393	462
Non-current investments	32	32
Other non-current assets	0	1
Current assets		
Inventories	481	410
Trade receivables	480	324
Cash and bank balances	357	11
Short-term loans and advances	195	88
Other current assets	25	37
Total Assets	3,242	2,098

Previous period figures have been regrouped/reclassified as per revised Schedule VI, wherever necessary

Standalone - Tire Business : Financial Highlights - Q3 FY2012



Rs.Crs	Q3 FY12	Q3FY11	YoY %	Q2 FY12	QoQ%
Revenue	759	496	53.0%	678	11.9%
Raw Material	453	302		423	
Employee Expenses	18	13		17	
Other Expenses	144	93		113	
EBITDA	144	88	64.8%	125	16.0%
<i>EBITDA Margin</i>	<i>19.0%</i>	<i>17.8%</i>		<i>18.4%</i>	
Exchange (Gain)/Loss	10*	2		6	
Interest & Finance Charges	5	11**		4	
Depreciation	21	19		21	
PBT	108	57		94	
Tax	35	18		31	
PAT	73	38	97.4%	63	19.0%
<i>PAT Margin</i>	<i>9.6%</i>	<i>7.7%</i>		<i>9.3%</i>	

* Increase in Exchange (Gain) / Loss on account of difference in foreign exchange rates on all foreign currency denominated accounts outstanding at the year/period end

** Includes Rs.8 Cr Redemption Premium on FCCB

Annual Financial Highlights : Tire Business

Profitability

Rs. Crs.	FY 2007	FY 2008	FY 2009	FY 2010	FY 2011	FY 2012
Revenue	749	1,006	1,257	1,413	1,934	2,820
YoY Growth	46%	34%	25%	12%	37%	46%
EBITDA	176	232	202	396	360	506
EBITDA Margin	23.5%	23.1%	16.1%	28.0%	18.6%	17.9%

- Continuous Revenue Growth despite global credit crisis
- Margin declined mainly due to
 - Sudden & Exponential price hike in input costs
 - Forex impact

- Exceptional year for higher earning margins mainly due to
 - Reversal in input costs

Guidance for FY 2013 : Sales of Tires ~ 160,000 - 165,000 MT

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